



MERLIN

PROPERTIES

Merlin Properties, SOCIMI, S.A.

Notes to the Interim Financial Statements for
the
three-month and seven-day period ended 30
June 2014

*Translation of interim financial statements originally issued
in Spanish and prepared in accordance with the regulatory
financial reporting framework applicable to the Company
(see Notes 2 and 13). In the event of a discrepancy, the
Spanish-language version prevails.*

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MERLIN PROPERTIES, SOCIMI, S.A.

BALANCE SHEET AT 30 JUNE 2014 (Thousands of Euros)

ASSETS	Explanatory Notes	30/06/14	EQUITY AND LIABILITIES	Explanatory Notes	30/06/14
NON-CURRENT ASSETS					
Property, plant and equipment		2	EQUITY	Note 5	1,221,604
		2	Share capital		125,060
			Share premium		1,125,000
			Reserves		(28,961)
			Other shareholder contributions		540
			Loss for the period		(35)
CURRENT ASSETS		1,250,600	CURRENT LIABILITIES		28,998
Trade and other receivables		81	Trade and other payables		28,998
Other accounts receivable from public authorities	Note 6	81	Payable to suppliers	Note 5	28,997
Cash and cash equivalents		1,250,519	Remuneration payable		1
Cash		1,250,519			
TOTAL ASSETS		1,250,602	TOTAL EQUITY AND LIABILITIES		1,250,602

The accompanying Notes 1 to 13 are an integral part of the balance sheet for the three-month and seven-day period ended 30 June 2014.

Translation of interim financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Company (see Notes 2 and 13). In the event of a discrepancy, the Spanish-language version prevails.

MERLIN PROPERTIES, SOCIMI, S.A.

INCOME STATEMENT FOR THE THREE-MONTH AND SEVEN-DAY PERIOD ENDED 30 JUNE 2014 (Thousands of Euros)

	Explanatory Notes	30/06/14
CONTINUING OPERATIONS		-
Staff costs		(1)
Wages, salaries and similar expenses		(1)
Other operating expenses		(34)
Outside services	Note 7.1	(34)
LOSS FROM OPERATIONS		(35)
LOSS BEFORE TAX		(35)
Income tax	Note 6	-
LOSS FOR THE PERIOD		(35)

The accompanying Notes 1 to 13 are an integral part of the income statement for the three-month and seven-day period ended 30 June 2014.

Translation of interim financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Company (see Notes 2 and 13). In the event of a discrepancy, the Spanish-language version prevails.

MERLIN PROPERTIES, SOCIMI, S.A.

STATEMENT OF CHANGES IN EQUITY FOR THE THREE-MONTH AND SEVEN-DAY PERIOD ENDED 30 JUNE 2014

A) STATEMENT OF RECOGNISED INCOME AND EXPENSE (Thousands of Euros)

	30/06/14
LOSS PER INCOME STATEMENT (I)	(35)
TOTAL INCOME AND EXPENSE RECOGNISED DIRECTLY IN EQUITY (II)	-
TOTAL TRANSFERS TO PROFIT OR LOSS (III)	-
TOTAL RECOGNISED INCOME AND EXPENSE (I+II+III)	(35)

The accompanying Notes 1 to 13 are an integral part of the statement of recognised income and expense for the three-month and seven-day period ended 30 June 2014.

B) STATEMENT OF CHANGES IN TOTAL EQUITY (Thousands of Euros)

	Share Capital (Note 5.1)	Share Premium (Note 5.1)	Reserves (Note 5.2)	Other Shareholder Contributions	Loss for the Year	TOTAL
Total recognised income and expense	-	-	-	-	(35)	(35)
Transactions with shareholders	125,060	1,125,000	(28,961)	540	-	1,221,639
Incorporation of the Company	60	-	-	-	-	60
Capital increases	125,000	1,125,000	(28,961)	-	-	1,221,039
Other transactions with shareholders	-	-	-	540	-	540
ENDING BALANCE AT 30 JUNE 2014	125,060	1,125,000	(28,961)	540	(35)	1,221,604

The accompanying Notes 1 to 13 are an integral part of the statement of changes in total equity for the three-month and seven-day period ended 30 June 2014.

Translation of interim financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Company (see Notes 2 and 13). In the event of a discrepancy, the Spanish-language version prevails.

MERLIN PROPERTIES, SOCIMI, S.A.

STATEMENT OF CASH FLOWS FOR THE THREE-MONTH AND SEVEN-DAY PERIOD ENDED 30 JUNE 2014 (Thousands of Euros)

	Explanatory Notes	30/06/14
CASH FLOWS FROM OPERATING ACTIVITIES (I)		
Loss for the year before tax		28,882
Changes in working capital		(35)
- Trade and other receivables		(81)
- Trade and other payables		28,998
CASH FLOWS FROM INVESTING ACTIVITIES (II)		(2)
Payments due to investment		
- Property, plant and equipment		(2)
CASH FLOWS FROM FINANCING ACTIVITIES (III)		1,221,639
Proceeds and payments relating to equity instruments		
- Proceeds from issue of equity instruments (Net)		1,221,099
- Shareholder contributions		540
EFFECT OF FOREIGN EXCHANGE RATE CHANGES (IV)		
NET INCREASE/DECREASE IN CASH AND CASH EQUIVALENTS (I+II+III+IV)		1,250,519
Cash and cash equivalents at beginning of year		-
Cash and cash equivalents at end of year		1,250,519

The accompanying Notes 1 to 13 are an integral part of the statement of cash flows for the three-month and seven-day period ended 30 June 2014.

Translation of interim financial statements originally issued in Spanish and prepared in accordance with the regulatory financial reporting framework applicable to the Company (see Notes 2 and 13). In the event of a discrepancy, the Spanish-language version prevails.

Merlin Properties, SOCIMI, S.A.

Notes to the Interim Financial Statements

for the three-month and seven-day

period ended 30 June 2014

1. Company description

Merlin Properties, SOCIMI, S.A. ("the Company") was incorporated on 25 March 2014 in Spain in accordance with the Spanish Limited Liability Companies Law. Its registered office is at Calle Paseo de Castellana 42, Madrid.

Its company object is the performance of the following activities, both in Spain and abroad:

- the acquisition and development of urban properties earmarked for lease, including the refurbishment of buildings under the terms established in VAT Law 37/1992, of 28 December;
- the ownership of interests in the share capital of other listed real estate investment trusts ("REITs" or "SOCIMIs") or other companies not resident in Spain with a company object identical to that of the former, which are subject to a regime similar to that established for the REITs in relation to the obligatory profit distribution policy stipulated by law or the bylaws;
- the ownership of interests in the share capital of other companies, resident or not in Spain, the principal company object of which is the acquisition of urban properties earmarked for lease, which are subject to the regime established for REITs in relation to the obligatory profit distribution policy stipulated by law or the bylaws and meet the investment requirements for these companies; and
- the ownership of shares or investments in property collective investment undertakings governed by Collective Investment Undertakings Law 35/2003, of 4 November, or the law that replaces it in the future.

Also, in addition to the economic activity relating to the main company object, the Company may also engage in ancillary activities that generate income, which as a whole represent less than 20% of the Company's income in each tax period, or those which may be considered to be ancillary activities under the legislation applicable at any time.

The activities making up the company object may be pursued in full or in part by the Company or indirectly through the ownership of shares or other equity interests in companies with the same or a similar object.

The direct, and, where appropriate, indirect performance of all the reserved activities subject to special legislation is excluded. Should, for the purposes of engaging in any of the activities included in the company object, legal provisions require any professional license, administrative authorisation or registration in public registers, or any other requirement, such activities shall not be initiated prior to the fulfilment of the administrative or professional requirements.

1.1 REIT tax regime

On 22 May 2014, the Company requested its inclusion in the REIT tax regime, applicable for accounting purposes from 1 January 2014

Transitional Provision One of the REITs Law provides for the application of the REIT tax regime under the terms established in Article 8 of the REITs Law, even when the requirements therein are not met on the date of inclusion, provided that such requirements are met within the two-year period following the date on which the regime is applied. The Company's directors consider that the aforementioned requirements will be met in full in due time and form.

The Company is regulated by Real Estate Investment Trusts Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December. Article 3 of Law 11/2009, of 26 October, amended by the new Law, establishes the investment requirements of this type of company, namely:

1. REITs must have invested at least 80% of the value of their assets in urban properties earmarked for lease, in land to develop properties to be earmarked for that purpose, provided that development begins within three years following its acquisition.

The value of the asset is calculated based on the average of the quarterly individual balance sheets of the year. To calculate this value, the Company may opt to substitute the carrying amount for the fair value of the items contained in these balance sheets, which will apply to all the balance sheets of the year. Any money or collection rights arising from the transfer of the aforementioned properties or investments made in the year or in prior years will not be included in the calculation unless, in the latter case, the reinvestment period referred to in Article 6 of Law 11/2009, of 26 October has expired.

2. Also, at least 80% of the rental income from the tax period corresponding to each year, excluding the rental income deriving from the transfer of the ownership interests and the properties used by the company to achieve its principal object, once the retention period referred to below has elapsed, should be obtained from the lease of properties and dividends or shares of profits arising from the aforementioned investments.

This percentage must be calculated on the basis of the consolidated profit if the company is the parent of a group, in accordance with the criteria established in Article 42 of the Spanish Commercial Code, regardless of its place of residence and of the obligation to formally prepare consolidated financial statements. Such a group must be composed exclusively of REITs and the other companies referred to in Article 2.1 of Law 11/2009, of 26 October.

3. The properties included in the company's assets should remain leased for at least three years. The time during which the properties have been made available for lease will be included in calculating this term, with a maximum of one year.

The term will be calculated:

- a) For properties included in the company's assets before the company avails itself of the regime, from the beginning of the first tax period in which the special tax regime established in Law 11/2009, of 26 October, applies, provided that at that date, the asset is leased or made available for lease. Otherwise b) shall apply.
- b) For properties developed or acquired subsequently by the company, from the date on which they were leased or made available for lease for the first time.

In the case of shares or ownership interests in the companies referred to in Article 2.1 of Law 11/2009, of 26 October, they should be retained on the asset side of the company's balance sheet for at least three years following their acquisition or, as appropriate, from the beginning of the first tax period in which the special tax regime established in Law 11/2009, of 26 October, applies.

Failure to meet this condition will require the Company to file income tax returns under the general tax regime from the tax period in which the aforementioned condition is not met, unless this situation is rectified in the following tax period. The Company will also be obliged to pay, together with the amount relating to the aforementioned tax period, the difference between the amount of tax payable under the general tax regime and the amount paid under the special tax regime in the previous tax periods, including any applicable late-payment interest, surcharges and penalties.

In addition to the foregoing, the following specific amendments to Law 11/2009, of 26 October, were established by Law 16/2012, of 27 December 2012:

- Flexibility of initial property and property-holding criteria: there is no lower limit on the number of properties that must be contributed in the incorporation of a REIT, except in the case of housing units, where a minimum contribution of eight is required. Properties must remain on the company's balance sheet for a minimum period of three years, instead of the seven-year period required previously.
- Lower capital requirements and unrestricted leverage: the minimum capital required is reduced from EUR 15 million to EUR 5 million and the restriction on the maximum debt limit of the property investment vehicle is eliminated.

- Reduction in distribution of dividends: before this Law came into force, the obligatory distribution of profit was 90%, and this obligation was reduced to 80% from 1 January 2013.
- The income tax rate for REITs was set at 0%. However, where the dividends that the REIT distributes to its shareholders holding an ownership interest exceeding 5% are exempt from tax or are subject to a tax rate lower than 10%, the REIT shall be subject to a special charge of 19%, which shall be considered to be the income tax charge, on the amount of the dividend distributed to these shareholders. If applicable, this special charge must be paid by the REIT within two months after the dividend payment date.

2. Basis of presentation of the interim financial statements

2.1 Regulatory financial reporting framework applicable to the Company

The interim financial statements for the three-month and seven-day period ended 30 June 2014 were prepared by the directors in accordance with the regulatory financial reporting framework applicable to the Company, which consists of:

- a) The Spanish Commercial Code and all other Spanish corporate law.
- b) The Spanish National Chart of Accounts approved by Royal Decree 1514/2007 and the industry adaptation for real estate companies.
- c) The mandatory rules approved by the Spanish Accounting and Audit Institute in order to implement the Spanish National Chart of Accounts and the relevant secondary legislation.
- d) Real Estate Investment Trusts Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December.
- e) All other applicable Spanish accounting legislation.

2.2 Fair presentation and accounting policies

The interim financial statements for the three-month and seven-day period ended 30 June 2014, which were obtained from the Company's accounting records, are presented in accordance with the regulatory financial reporting framework applicable to the Company and, in particular, with the accounting principles and rules contained therein and, accordingly, present fairly the Company's equity, financial position, results of operations and cash flows for the three-month and seven-day period then ended.

The interim financial statements for the three-month and seven-day period ended 30 June 2014 and the accompanying explanatory notes thereto were authorised for issue by the Company's Board of Directors in their meeting on 30 July 2014.

The generally accepted accounting policies and measurement bases contained in the Spanish National Chart of Accounts described in Note 3 were applied in the preparation of the accompanying interim financial statements. All obligatory accounting principles with a significant effect on the interim financial statements were applied in their preparation.

2.3 Key issues in relation to the measurement and estimation of uncertainty

The information in these interim financial statements is the responsibility of the Parent's directors.

In preparing the accompanying interim financial statements for the three-month and seven-day period ended 30 June 2014 estimates were made by the Company's directors in order to measure certain of the assets, liabilities, income, expenses and obligations reported herein. Basically, these estimates refer to the expenses incurred by the Company since its incorporation. Although these estimates were made on the basis of the best information available at the end of the three-month and seven-day period ended 30 June 2014, events that take place in the future might make it necessary to change these estimates (upwards or downwards) in coming years. Changes in accounting estimates would be applied prospectively.

2.4 Comparative information

The Company was incorporated on 25 March 2014. Therefore, there is no comparative information.

2.5 Consolidation

At 30 June 2014, the Company is not obliged, under Article 42 of the Spanish Commercial Code, to prepare consolidated financial statements as it is not the parent of a group of companies.

3. Accounting policies

The principal accounting policies used by the Company in preparing its interim financial statements for the three-month and seven-day period ended 30 June 2014, in accordance with the Spanish National Chart of Accounts, were as follows:

3.1 Financial instruments

3.1.1 Financial assets

Classification

The financial assets held by the Company are classified under the following category:

a) Loans and receivables: financial assets arising from the sale of goods or the rendering of services in the ordinary course of the Company's business, or financial assets which, not having commercial substance, are not equity instruments or derivatives, have fixed or determinable payments and are not traded in an active market.

Initial recognition

In general terms, financial assets are initially recognised at the fair value of the consideration given, plus any directly attributable transaction costs.

Subsequent measurement

Loans and receivables and held-to-maturity investments are measured at amortised cost.

The Company assesses the existence of objective evidence of impairment, in the case of loans and receivables, considering the financial difficulties of the debtor and non-compliance with contractual clauses, although it does take other objective evidence of impairment into consideration, such as, inter alia, delays in payment.

The Company derecognises a financial asset when the rights to the cash flows from the financial asset expire or have been transferred and substantially all the risks and rewards of ownership of the financial asset have also been transferred.

However, the Company does not derecognise financial assets, and recognises a financial liability for an amount equal to the consideration received, in transfers of financial assets in which substantially all the risks and rewards of ownership are retained.

3.1.2 Financial liabilities

Financial liabilities include accounts payable by the Company that have arisen from the purchase of goods or services in the normal course of the Company's business and those which, not having commercial substance, cannot be classed as derivative financial instruments.

Accounts payable are initially recognised at the fair value of the consideration received, adjusted by the directly attributable transaction costs. These liabilities are subsequently measured at amortised cost.

The Company derecognises financial liabilities when the obligations giving rise to them cease to exist.

3.1.3 Cash and cash equivalents

“Cash and Cash Equivalents” includes cash on hand and in bank accounts and the short-term deposits and reverse repos that meet the following requirements:

- They are convertible into cash.
- At the acquisition date, their maturity did not exceed three months.
- They are not subject to a significant risk of changes in value.
- They form part of the Company's normal cash management policy.

For the purpose of the statement of cash flows, the circumstantial overdrafts that form part of the Company's cash management are deducted from the balances of cash and cash equivalents.

3.2 Income tax

The special tax regime for REITs, following the amendment thereof by Law 16/2012, of 27 December, is based on the application of a 0% income tax charge provided that they meet certain requirements. These requirements include most notably the need for at least 80% of their assets to consist of either urban properties earmarked for lease and taken into full ownership or investments in companies that meet the same investment and profit distribution requirements, whether Spanish or foreign and whether listed or not on organised markets. Also, the main sources of revenue for these entities must be the property market, whether through rent, the subsequent sale of properties after a minimum rental period or income from investments in entities with similar characteristics. However, income tax accrues in proportion to the dividends distributed by the Company.

Dividends received by shareholders are tax-exempt, unless the recipient is a legal person subject to income tax, or a permanent establishment of a foreign entity, in which case a tax credit will be taken on the gross tax payable so that the income will be taxed at the rate applicable to the shareholder. However, all other income will not be taxed provided that it is not distributed to shareholders.

As established by Transitional Provision Nine of the REITs Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December, the entity shall be subject to a special tax rate of 19% on the full amount of the dividends or share of profits distributed to the shareholders whose ownership interest in the entity's share capital is equal to or exceeds 5%, where such dividends, which are taxed at the shareholders, are exempt or subject to a tax rate of less than 10%. Notwithstanding the foregoing, the special tax rate shall not apply where the dividends or share in profits are received by the non-resident entities referred to in Article 2.1 b) of this Law (the ownership of interests in the share capital of other REITs or other companies not resident in Spain with a company object identical to that of the former, which are subject to a regime similar to that established for the REITs in relation to the obligatory profit distribution policy stipulated by law or the bylaws) and where those shareholders holding an ownership interest in these entities equal to or exceeding 5% are subject to a tax rate of at least 10% on the dividends or share in profits.

3.3 Income and expenses

Revenue and expenses are recognised on an accrual basis, i.e. when the actual flow of the related goods and services occurs, regardless of when the resulting monetary or financial flow arises. Revenue is measured at the fair value of the consideration received, net of discounts and taxes.

Revenue from sales is recognised when the significant risks and rewards of ownership of the goods sold have been transferred to the buyer, and the Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold.

3.4 Provisions and contingencies

When preparing the interim financial statements the Company's directors made a distinction between:

- a) Provisions: credit balances covering present obligations arising from past events with respect to which it is probable that an outflow of resources embodying economic benefits that is uncertain as to its amount and/or timing will be required to settle the obligations; and

- b) Contingent liabilities: possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not wholly within the Company's control.

The interim financial statements include all the provisions with respect to which it is considered that it is more likely than not that the obligation will have to be settled. Contingent liabilities are not recognised in the interim financial statements, but rather are disclosed, unless the possibility of an outflow in settlement is considered to be remote.

Provisions are measured at the present value of the best possible estimate of the amount required to settle or transfer the obligation, taking into account the information available on the event and its consequences. Where discounting is used, adjustments made to provisions are recognised as interest cost on an accrual basis.

3.5 Environmental assets and liabilities

Environmental assets are deemed to be assets used on a lasting basis in the Company's operations whose main purpose is to minimise environmental impact and protect and improve the environment, including the reduction or elimination of future pollution.

In view of the business activities currently carried on by the Company, it does not have any environmental liability, expenses, assets, provisions or contingencies that might be material with respect to its equity, financial position or results. Therefore, no specific disclosures relating to environmental issues are included in these notes to the interim financial statements.

3.6 Current/Non-current classification

Current assets are assets associated with the normal operating cycle, which in general is considered to be one year; other assets which are expected to mature, be disposed of or be realised within twelve months from the end of the reporting period and cash and cash equivalents. Assets that do not meet these requirements are classified as non-current assets.

Similarly, current liabilities are liabilities associated with the normal operating cycle and, in general, all obligations that will mature or be extinguished at short term. All other liabilities are classified as non-current liabilities.

3.7 Foreign currency transactions

The Company's functional currency is the euro. Therefore, transactions in currencies other than the euro are deemed to be "foreign currency transactions" and are recognised by applying the exchange rates prevailing at the date of the transaction. At the end of each reporting period, monetary assets and liabilities denominated in foreign currencies are translated to euros at the rates then prevailing. Any resulting gains or losses are recognised directly in the interim income statement in the period in which they arise.

3.8 Related party transactions

The Company performs all its transactions with related parties on an arm's length basis and in accordance with the terms and conditions reflected in the agreements.

3.9 Statements of cash flows

The following terms are used in the statement of cash flows, which was prepared using the indirect method, with the meanings specified:

- Cash flows: inflows and outflows of cash and cash equivalents, which are short-term, highly liquid investments that are subject to an insignificant risk of changes in value.
- Operating activities: the principal revenue-producing activities of the Company and other activities that are not investing or financing activities.

- Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash and cash equivalents.
- Financing activities: activities that result in changes in the size and composition of the equity and borrowings that are not operating activities.

3.10 Equity instruments

An equity instrument is a contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities.

Equity instruments issued by the Company are recognised in equity at the proceeds received, net of issue costs.

4. Information on the nature and level of risk of financial instruments

Qualitative information

The Company's financial risk management is centralised in its Company Management, which has established the mechanisms required to control exposure to interest rate fluctuations and credit, liquidity and foreign currency risk.

In general, the Company holds its cash and cash equivalents at banks with high credit ratings.

5. Equity and shareholders' equity

The detail of "Shareholders' Equity" at 30 June 2014 is as follows:

	Thousands of Euros
Share Capital	125,060
Share Premium	1,125,000
Reserves	(28,961)
Other Shareholder Contributions	540
Loss for the Period	(35)
	1,221,604

5.1 Share capital and share premium

The Company was incorporated on 25 March 2014 through the issuance of 60,000 shares of EUR 1 par value each, which were fully subscribed and paid by the Magic Real Estate, S.L.

On 30 June 2014, the Company increased capital by EUR 125,000 thousand, with a share premium of EUR 1,125,000 thousand, through the issuance of 125,000,000 new fully subscribed and paid shares of EUR 1 par value each.

The Company's share capital at 30 June 2014 was represented by 125,060,000 fully subscribed and paid ordinary shares of EUR 1 par value each, all of the same class. All of the Company's shares are admitted for public trading and official listing on the Madrid, Barcelona, Bilbao and Valencia Stock Exchanges.

In order to exercise the Green Shoe option, on 14 July 2014 the Company performed a second share capital increase of EUR 4,152 thousand, with a share premium of EUR 37,368 thousand, through the creation of 4,152,001 new fully subscribed and paid shares of EUR 1 par value each.

At 30 June 2014, 10.63% of the Company's share capital belonged to Marketfield Asset Management, LLC, the only shareholder with an ownership interest of more than 10% of the share capital at that date.

5.2 Earnings (Loss) per share

Earnings (Loss) per share are calculated by dividing the net profit or loss for the period by the weighted average number of ordinary shares outstanding during the period, excluding, where applicable, the average number of treasury shares held in the period.

5.3 Reserves

5.3.1 Legal reserve

Under the Spanish Limited Liability Companies Law, the Company must transfer 10% of net profit for each year to the legal reserve until the balance of this reserve reaches at least 20% of the share capital.

The legal reserve can be used to increase capital provided that the remaining reserve balance does not fall below 10% of the increased share capital amount. Otherwise, until the legal reserve exceeds 20% of share capital, it can only be used to offset losses, provided that sufficient other reserves are not available for this purpose.

5.3.2 Other Reserves

The balance of "Other Reserves" at 30 June 2014 was EUR (28,961) thousand, relating to the incorporation expenses of the Company and the expenses incurred in relation to the issuance of the Company's shares and its admission to trading on the Madrid, Barcelona, Bilbao and Valencia Stock Exchanges.

5.4 Allocation of loss

REITs are regulated by the special tax regime established in Real Estate Investment Trusts Law 11/2009, of 26 October, amended by Law 16/2012, of 27 December. REITs are required to distribute the profit for the year to shareholders in the form of dividends, once the related corporate obligations have been met. The distribution must be approved within six months of each year-end as follows:

- a) All the profit from dividends or shares in profits paid by the entities referred to in Article 2.1 of Law 11/2009, of 26 October.
- b) At least 50% of the profits arising from the transfer of property, shares or investments to which Article 2.1 of this law refers, performed once the time periods referred to in Article 3.3 of this law have elapsed, which are used to achieve the company's principal object. The remainder of these profits should be reinvested in other buildings or investments related to the performance of this object within three years from the transfer date. Otherwise these profits should be distributed in full together with any profit arising in the year in which the reinvestment period expires. If the items subject to reinvestment are transferred before the retention period, the related profits must be distributed in full together with any profits arising in the year in which they were transferred. The distribution obligation does not extend to the portion of these profits, if any, that may be allocated to years in which the Company did not file tax returns under the special tax regime established in Law 11/2009, of 26 October.
- c) At least 80% of the remainder of the profits obtained.

When dividends are distributed with a charge to reserves out of profit for a year in which the special tax regime had been applied, the distribution must be approved subject to the conditions set out in the preceding paragraph.

The legal reserve of companies which have chosen to avail themselves of the special tax regime established in Law 11/2009, of 26 October, must not exceed 20% of the share capital. The bylaws of these companies may not establish any other restricted reserve.

5.5 Capital management

The Company is required to distribute at least 80% of its distributable profits in the form of dividends to its shareholders pursuant to Law 11/2009, of 26 October, which was amended by Law 16/2012.

6. Tax matters

6.1 Tax receivables and payables

The detail of the current tax receivables and payables is as follows (in thousands of euros):

Tax receivables

	30/06/14
VAT refundable	81
Total	81

6.2 Reconciliation of the accounting loss to the tax loss

The tax loss at 30 June 2014 was calculated based on the accounting loss for the period plus the expenses arising from the Company's incorporation, which were recognised directly in equity. At the reporting date of the interim financial statements, the Company had not recognised a deferred tax asset in this connection, as it was subject to the REIT tax regime.

6.3 Years open for review and tax audits

Under current legislation, taxes cannot be deemed to have been definitively settled until the tax returns filed have been reviewed by the tax authorities or until the four-year statute-of-limitations period has expired.

7. Income and expenses

7.1 Outside services

"Outside Services" includes mainly the expenses arising from the audit of the financial statements at 31 March 2014, as well as the expenses incurred in the flotation process performed by the Company.

8. Disclosures on the payment periods to suppliers. Additional Provision Three. "Disclosure obligation" provided for in Law 15/2010, of 5 July.

In relation to the disclosures required by Additional Provision Three of Law 15/2010, of 5 July, at 31 March 2014, the balance payable to suppliers was not past-due by more than the legally established payment period. No payment was made in the three-month and seven-day period ended 30 June 2014.

The maximum payment period applicable to the Company is 60 days. The aforementioned information relates to suppliers and creditors that because of their nature are trade creditors for the supply of goods and services and, therefore, it includes the figures relating to "Payable to Suppliers" under current liabilities in the balance sheet.

9. Related party transactions and balances

9.1 Remuneration of directors and senior executives

In the three-month and seven-day period ended 30 June 2014, the members of the Company's Board of Directors did not receive remuneration of any kind and there were no accounts receivable from or payable to them.

Also, the Company has not granted any loans to the members of the Board of Directors and does not have pension fund, life insurance or other similar obligations to them.

In the three-month and seven-day period ended 2014, the Company was managed by the Board of Directors, and no remuneration was received by senior executives in that period.

9.2 Detail of investments in companies with similar activities and of the performance, as independent professionals or as employees, of similar activities by the directors

At 30 June 2014, the members of the Board of Directors holding ownership interests in companies engaging in an activity that is identical, similar or complementary to the activity that constitutes the Company's object (including the positions held and functions discharged thereat) are:

	Position / Function	Direct Ownership Interest		Indirect Ownership Interest	
		Number of Shares	% of Ownership	Number of Shares	% of Ownership
Ismael Clemente Orrego					
Ardim, S.A.	Director	-	-	-	-
Ardim Casa Port I, S.à.r.l.	Director	-	-	-	-
Ardim Parc Logistique, S.à.r.l.	Director	-	-	-	-
Bincomerc, S.A.	Director	-	-	-	-
Bosque Portfolio Management, S.L.	Director	-	-	-	-
Caesar Park Hotel Portugal, S.A.	Director	-	-	-	-
DB Real Estate Iberian Value Added I, S.A. SICAR	Director	-	-	-	-
Diars Tamouda, S.à.r.l.	Director	-	-	-	-
Felting, S.G.P.S.	Director	-	-	-	-
LV Bureau, S.A.	Director	-	-	-	-
Magic Kingdom, S.L.	Director	-	-	93,558	24.95%
MAGIC Real Estate, S.L.U.	Director	-	-	4,350	43.50%
Proargos Tánger, S.A.	Director	-	-	-	-
Prodec Immobilier, Sci	Director	-	-	-	-
QPL Empreendimentos, S.A.	Director	-	-	-	-
QPL Lux, S.à.r.l.	Director	-	-	-	-
RREEF Iberian Value Added II, S.A., SICAR	Director	-	-	-	-

	Position / Function	Direct Ownership Interest		Indirect Ownership Interest	
		Number of Shares	% of Ownership	Number of Shares	% of Ownership
RREEF Moroccan Explorer I, S.A. SICAR	Director	-	-	-	-
Silcoge, S.A.	Director	-	-	-	-
Tree Inversiones Inmobiliarias, S.A.	Director	-	-	-	-
Tree Investments, S.A.	Director	-	-	-	-
Miguel Ollero Barrera					
Ardim, S.A.	Director	-	-	-	-
Ardim Casa Port I, S.à.r.l.	Director	-	-	-	-
Ardim Parc Logistique, S.à.r.l.	Director	-	-	-	-
Bincomerc, S.A.	Director	-	-	-	-
Bosque Portfolio Management, S.L.	Director	-	-	-	-
Caesar Park Hotel Portugal, S.A.	Director	-	-	-	-
DB Real Estate Iberian Value Added I, S.A. SICAR	Director	-	-	-	-
Diars Tamouda, S.à.r.l.	Director	-	-	-	-
Felting, S.G.P.S.	Director	-	-	-	-
Fidere Residencial, S.L.U.	Director	-	-	-	-
LV Bureau, S.A.	Director	-	-	-	-
Magic Kingdom, S.L.	Director	-	-	93,558	24.95%
Magic Real Estate, S.L.U.	Director	-	-	4,350	43.50%
Proargos Tánger, S.A.	Director	-	-	-	-
Prodec Immobilier, Sci	Director	-	-	-	-
QPL Empreendimentos, S.A.	Director	-	-	-	-
RREEF Iberian Value Added II, S.A., SICAR	Director	-	-	-	-
RREEF Moroccan Explorer I, S.A. SICAR	Director	-	-	-	-
Silcoge, S.A.	Director	-	-	-	-
Tree Investments, S.A.	Director	-	-	-	-
Alfredo Fernández Agrad					
RREEF Iberian Value Added II, S.A., SICAR	Director	-	-	-	-
Fernando Javier Ortiz Vaamonde					
Saba Infraestructuras, S.A.	Director	-	-	-	-

10. Reporting requirements arising from REIT status, Law 11/2009, amended by Law 16/2012

- a) *Reserves from years prior to the application of the tax regime established under Law 11/2009, amended by Law 16/2012, of 27 December.*

Not applicable.

- b) *Reserves from years in which the tax regime established under this law was applied, differentiating the portion from income subject to tax at 0% or 19% from the portions which, where applicable, were subject to tax at the general rate.*

Not applicable.

Subject to 0% tax rate	-
Subject to 19% tax rate	-
Subject to general tax rate	-

- c) *Dividends distributed with a charge to profit or loss in each year in which the tax regime established under this law was applied, differentiating the portion from income subject to tax at 0% or 19% from the portions which, where applicable, were subject to tax at the general rate.*

No dividends were distributed with a charge to profit or loss.

Subject to 0% tax rate	-
Subject to 19% tax rate	-
Subject to general tax rate	-

- d) *In the case of distribution of dividends with a charge to reserves, designation of the year in which the reserve distributed in dividends arose and whether they were subject to the 0%, 19% or general tax rate.*

No dividends were distributed with a charge to reserves.

Subject to 0% tax rate	-
Subject to 19% tax rate	-
Subject to general tax rate	-

e) *Date of the dividend distribution resolution to which c) and d) above refer*

No dividend distribution resolutions were made.

f) *Date of acquisition of the properties earmarked for rental and the investments in the share capital of entities referred to in Article 2.1 of Law 11/2009, of 26 October.*

On 3 July 2014, all of the shares of Tree Inversiones Inmobiliarias, SOCIMI, S.A.U. were acquired. This Company owns 885 leased properties.

g) *Identification of the assets that are included in the calculation of the 80% to which Article 3.1 of Law 11/2009, of 26 October, refers.*

Not applicable.

11. Other disclosures

11.1 Fees paid to auditors

In the three-month and seven-day period ended 30 June 2014, the fees for financial audit and other services provided by the Company's auditor, Deloitte, S.L., or by companies related to the auditor as a result of a relationship of control, common ownership or common management were as follows (in euros):

	Services Provided by the Financial Auditors and Related Companies
Audit services	5,000
Other attest services	305,000
Total audit and related services	310,000
Other services	-
Total professional services	310,000

The attest services provided by the Company's auditor correspond to the work relating to the initial public offering and the admission to trading of the shares of Merlin Properties, S.A. (see Note 5.1).

11.2 Seasonality

The activities carried on by the Company are not seasonal by nature and there are no cycles within the business year that significantly affect the Company's equity, profit or loss and financial position.

11.3 Comparison with IFRSs

Article 525 of the Spanish Limited Liability Companies Law provides that companies that have issued securities listed on a regulated market of any European Union Member State and that, pursuant to current legislation, only publish separate financial statements for the period, must disclose in the notes to the financial statements the main changes that would have arisen in equity and in the income statement had International Financial Reporting Standards as adopted by the European Union ("EU-IFRSs") been applied.

In this connection, there are no differences between the Company's equity at 30 June 2014 or its income statement for the three-month and seven-day period then ended as measured under the Spanish National Chart of Accounts and as measured under EU-IFRSs.

The directors measured the most significant changes in the Company's equity and its income statement arising from the differences in accounting legislation as a result of its activities as defined in its company object (Note 1). The most significant difference relates to the different accounting treatment of the measurement of property assets, which under the Spanish National Chart of Accounts are measured at the reporting date at

the lower of their carrying amount and recoverable amount, whereas were EU-IFRSs to be applied, they would be measured at fair value, although they could also be measured at amortised cost. This difference would arise, therefore, only if the assets were measured at fair value.

12. Events after the balance sheet date

As established by Transitional Provision 1 of Real Estate Investment Trusts Law 11/2009, the Company can choose to avail itself of the Spanish real estate investment trust (REIT) special tax regime even when the requirements therein are not met, provided those requirements are met within the two years following the date it chooses to apply this regime. The Company meets certain requirements established pursuant to Law 11/2009 and envisages that it will meet all of the requirements in the aforementioned timeframe, with the REIT special tax regime applicable to the Company.

On 3 June 2014, the Company acquired all the shares of Tree Inversiones Inmobiliarias, SOCIMI, S.A. and Bosque Portfolio Management, S.L. for total amounts of EUR 739,484 thousand and EUR 3 thousand, respectively.

Tree Inversiones Inmobiliarias, SOCIMI, S.A. currently focuses its business activities on the operation and rental of all of its 885 leased buildings to the BBVA Group.

In order to exercise the Green Shoe option, on 14 July 2014 the Company performed a second share capital increase of EUR 4,152 thousand, with a share premium of EUR 37,368 thousand, through the creation of 4,152,001 new fully subscribed and paid shares of EUR 1 par value each.

13. Explanation added for translation to English

These interim financial statements are presented on the basis of the regulatory financial reporting framework applicable to the Company (see Note 2). Certain accounting practices applied by the Company that conform with that regulatory framework may not conform with other generally accepted accounting principles and rules.

Translation of a report originally issued in Spanish. In the event of a discrepancy, the Spanish-language version prevails.

Merlin Properties, SOCIMI, S.A.

INTERIM DIRECTORS' REPORT for the three-month and seven-day period ended 30 June 2014

Shareholder restructuring

The Company was incorporated on 25 March 2014 through the issuance of 60,000 registered shares of EUR 1 par value each.

On 5 June 2014, the shareholders made a cash contribution of EUR 540 thousand in the form of a "shareholder or owner contribution".

On 30 June 2014, the Company increased capital by EUR 125,000 thousand, with a share premium of EUR 1,125,000 thousand, through the issuance of 125,000,000 new fully subscribed and paid shares of EUR 1 par value each.

The Company's share capital at 30 June 2014 was represented by 125,060,000 fully subscribed and paid ordinary shares of EUR 1 par value each, all of the same class. All of the Company's shares are admitted for public trading and official listing on the Madrid, Barcelona, Bilbao and Valencia Stock Exchanges.

In order to exercise the Green Shoe option, on 14 July 2014 the Company performed a second share capital increase of EUR 4,152 thousand, with a share premium of EUR 37,368 thousand, through the creation of 4,152,001 new fully subscribed and paid shares of EUR 1 par value each.

Significant matters in the three-month and seven-day period ended 30 June 2014

On 22 May 2014, a request was made to incorporate the Company in the REIT tax regime, to take effect from 1 January 2014.

The Company's shareholder equity at 30 June 2014 amounted to EUR 1,221,604 thousand.

The Company does not perform any research and development activities.

At 30 June 2014, the Company did not hold any treasury shares.

Significant events communicated in the period

The significant events communicated up to the date of preparation of this interim financial report were as follows:

On 24 June 2014, the Company reported its incorporation to the FTSE EPRA/NAREIT Developed Europe Index. Significant event number: 207530.

On 27 June 2014, the Company reported the size of the offering and the appointment of new directors. Significant event number: 207653.

On 3 July 2014, the Company reported the acquisition of all the shares of Tree Inversiones Inmobiliarias, S.A. and Bosque Portfolio Management, S.L. Significant event number: 208035.

On 8 July 2014, the Company reported the shareholders agreement for the non-transfer of the Company's shares by Magic Kingdom, S.L. Significant event number: 208292.

On 9 July 2014, the Company reported the partial exercise of the Green Shoe option. Significant event number: 208310.

On 9 July 2014, Credit Suisse, acting as stabilisation agent in the Company's share offering, released information relating to the stabilisation transactions performed in relation to the shares of Merlin Properties, SOCIMI, S.A. Significant event number: 208311.

Events after the reporting period

As established by Transitional Provision 1 of Real Estate Investment Trusts Law 11/2009, the Company can choose to avail itself of the REIT special tax regime even when the requirements therein are not fulfilled provided those requirements are met within the two years following the date it chooses to apply this regime. The Company meets certain requirements established pursuant to Law 11/2009 and envisages that it will meet all of the requirements in the aforementioned timeframe, with the REIT special tax regime applicable to the Company.

On 3 July 2014, the Company acquired all the shares of Tree Inversiones Inmobiliarias, SOCIMI, S.A. and Bosque Portfolio Management, S.L. for an amounts of EUR 739,484 thousand and EUR 3 thousand, respectively.

Tree Inversiones Inmobiliarias, SOCIMI, S.A. currently focuses its business activities on the operation and rental of all of its 885 leased buildings to the BBVA Group.

In order to exercise the Green Shoe option, on 14 July 2014 the Company performed a second share capital increase of EUR 4,152 thousand, with a share premium of EUR 37,368 thousand, through the creation of 4,152,001 new fully subscribed and paid shares of EUR 1 par value each.

Outlook for 2014

The Company continues to analyse projects in line with its investment strategy.

Madrid, 30 July 2014

Certificate of authorisation for issue of the interim financial statements

As required by the Spanish Limited Liability Companies Law, the Board of Directors of Merlin Properties, SOCIMI, S.A., at its meeting held on 30 July 2014, authorised for issue the interim financial statements for the three-month and seven-day period ended 30 June 2014.

Madrid, 30 July 2014.

Ismael Clemente Orrego
Chairman

Miguel Ollero Barrera
Director

Ana María García Fau
Director

Alfredo Fernández Agras
Director

Fernando Javier Ortiz Vaamonde
Director

George Donald Johnston
Director

María Luisa Jordá Castro
Director

Matthew Cartwell Glowasky
Director

José García Cedrún
Director

Mónica Eloísa Martín de Vidales Godino
Non-Director Secretary

Ildefonso Polo del Mármol
Non-Director Deputy Secretary